

nal and anti-infective therapeutic areas and owns household names such as Rantac and Metrogyl.

In July 2020, US private equity firm KKR purchased a 54 per cent stake in JB Pharma for ₹3,100 crore.

Nikhil Chopra, JB Pharma's CEO, who was earlier an executive vice president of Cipla's India business, says JB Pharma has grown from ₹1,641 crore in 2019-20 to ₹2,884 crore in 2022-23 after KKR took a controlling stake.

Will a new owner at the helm mean new direction for Cipla? Given Cipla's professional management, says Tushar Manudhane, Research Analyst at Motilal Oswal Financial Services Ltd, there will be no drastic changes. "Cipla is a professionally run company. Any change in promoter will have a marginal impact on its business operations. However, the extent of this impact is also influenced by who eventually steps in as the new promoter," he says.

Manudhane says a new promoter with a financial investment background could bring minor modifications initially as a financial investor brings a keen understanding of the financial metrics and markets.

WHY IS CIPLA A LUCRATIVE DEAL?

Cipla has a promising product portfolio and a strong US and South African presence. Manudhane points to Cipla's prospects in growing markets such as the US. "One of the key growth drivers for Cipla is improved traction in its base portfolio in North America. This would be further supported with niche launches over the next 15-18 months," he says.

Manudhane notes that Cipla is

adding alternative manufacturing sites to reduce the regulatory risk in products with limited competition.

"Even in the domestic formulations segment, Cipla continues to outperform the industry by a wide margin in chronic therapies," says Manudhane. Cipla grew by 16.3 per cent year-on-year in the respiratory category against the industry growth of 13.5 per cent.

KRChoksey, a brokerage firm, says it stays positive on Cipla because of its increased focus on the domestic market and US generics.

"Cipla has been professionally managed since its promoters handed over control to professional management almost a decade ago. Since then, the stock price has grown threefold," says Manchanda, an Equity Research Analyst, pharmaceuticals, and the Senior Vice-President of Institutional Research at Systematix.

Cipla has built a resilient business model, with over half its sales coming from branded and emerging markets, including India.

"This positioning offers bet-



"The acquisition is expected to create value through cost synergies, increased selling power with US distributors, and an expanded product range in the US market"

SHIRAZ BUGWADIA
SENIOR MANAGING DIRECTOR,
O3 CAPITAL

It has a strong product launch pipeline for the US, India, and emerging markets. Based on Cipla's market valuation of ₹95,812 crore as on September 29, the promoters' stake alone is valued at ₹32,000 crore, or approximately \$3.84 billion.

Vishal Manchanda of Systematix Group—which provides financial services—says Cipla is the most valuable domestic branded formulations player with a formidable presence across segments: branded prescription formulations, trade generics, and consumer healthcare.

ter growth prospects compared with developed markets. Cipla is renowned for its leadership in the respiratory category, driven by products that are challenging to manufacture," says Manchanda.

For Cipla, takeover or not, it is business as usual. On September 4, Cipla South Africa, a subsidiary of Cipla Limited, signed an agreement to acquire Actor Pharma, a rapidly growing player in the South African over-the-counter (OTC) market. Cipla said this is a strategic acquisition for Cipla South Africa.